DSEH004 Performance Management and Employee Engagement

Week 11 | Lecture 2 | Unit IV

Performance Culture Transformation

Schein's levels, psychological safety, and why culture changes slowly and through behavior

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Commit before theory

A CEO publishes new values: openness, accountability and learning. A year later nothing has changed. Why?

A

The values were badly worded

B

Values on posters do not change the assumptions people act on

C

Employees resist all change

D

One year is too short to tell

Schein: three levels of culture

Artifacts

What you see and hear: rituals, forms, office layout, dashboards

Espoused values

What people say they believe: values statements, strategies

Basic assumptions

Taken for granted beliefs that actually guide behavior

Schein (2010): change that touches only artifacts and values leaves assumptions intact

Edmondson: psychological safety

1 Definition

A shared belief that the team is safe for interpersonal risk taking

2 Mechanism

Safety enables learning behaviors: asking, admitting errors, seeking feedback

3 Evidence

Frazier et al. (2017): safety relates to engagement, performance and information sharing

Edmondson (1996): better teams reported more errors, because they were safe to report them

Safety and accountability together

Psychological safety (high at top)

Comfort zone

Safe but undemanding: pleasant, low learning

Learning zone

Safe and demanding: high learning and performance

Apathy zone

Neither safe nor demanding: disengagement

Anxiety zone

Demanding but unsafe: fear, hidden errors

Accountability for high standards (low to high)

Cameron and Quinn: competing values

Culture type	Orientation	Performance management that fits
Clan	Internal, flexible	Development conversations, team goals, mentoring
Adhocracy	External, flexible	OKRs with stretch, learning goals, experimentation
Market	External, controlled	Results metrics, differentiated rewards
Hierarchy	Internal, controlled	Clear standards, process measures, calibration

Culture and performance

1 Adaptive cultures

Kotter and Heskett (1992): adaptive cultures outperformed; strength alone did not guarantee results

2 Indian leadership

Sinha (1980): the nurturant task leader combines care with high task demands

3 Change pathway

Change behavior and artifacts consistently; assumptions follow evidence over time

Errors in a quality department

Teaching case (Course framing)

An Aurangabad auto parts plant reports very few quality incidents. A new plant head finds that supervisors scold workers who report defects, and incident forms need three signatures. Leadership has a value statement about learning from mistakes on every wall.

Work it through

1. Map the situation to Schein's three levels
2. What does the low incident count really measure?
3. Which zone is the plant in?
4. Design three artifact changes that signal new assumptions

Exam-style question

Using Schein (2010) and Edmondson (1999), explain why performance cultures are hard to change and propose a pathway for change. (20 marks)

What a strong answer does

- Explains the three levels and why assumptions resist change
- Defines psychological safety and its learning mechanism
- Shows safety and accountability are complementary
- Proposes behavior and artifact changes consistent with Kotter and Heskett

Sources

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